

Shree Refrigerations Ltd

BSE SME: 544458 | ISIN: INE0FMZ01045 | Sector: Aerospace & Defence (Capital Goods) | Sub-Sector: Defence Marine HVAC

India's only listed pure-play naval refrigeration & HVAC manufacturer; sole indigeniser of submarine AC — 40% CAGR growth targeted for 3-5 years.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 450	+27.5%
CMP: Rs. 353	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 353	Market Cap	Rs. 1,265 Cr
52-Week High / Low	Rs. 359 / Rs. 153	Face Value	Rs. 2.00
Stock P/E (TTM)	58.8x	Book Value / Share	Rs. 60.6
ROCE (TTM)	13.9%	ROE (TTM)	13.0%
Dividend Yield	0.00%	Promoter Holding	44.60%
FY26 Revenue	Rs. 154 Cr	FY26 PAT	Rs. 22 Cr
FY26 EPS	Rs. 6.04	FY26 OPM%	21%
Order Book (Mar-26)	Rs. 270 Cr	OB / Revenue	1.8x
Investment Horizon	12-18 months	Report Date	15 Jun 2026

Investment Thesis: Only indigeniser of Indian submarine HVAC with 64%+ market share, Rs. 270 Cr order book (1.8x FY26 rev), and new Karad facility enabling 40%+ CAGR for FY27-29.

Analyst: MPM Institutional Research | Rating History: Initiating Coverage | Conviction Level: Medium-High

2. INVESTMENT THESIS

- **Structural monopoly in a captive market:** Shree Refrigerations holds 64%+ market share in Indian Navy HVAC supply — the only company certified for all three defence marine categories (HVAC system, AC & Ref plant, and own control panels). Switching costs are extreme: type-test re-certification alone takes 12-18 months, creating a near-impenetrable entry barrier for new suppliers.
- **Rs. 3,000-4,000 Cr TAM expanding rapidly:** Government-approved AONs of Rs. 2.3-2.4 lakh crore in defence procurement translate to ~Rs. 2,500 Cr of HVAC-addressable contracts over the next two years. Navy expansion from 150 to 230+ ships by 2030, plus the merchant marine push to become a top-10 shipbuilding nation by 2035, is compounding the addressable universe. At 60-70% market share, SRL's revenue runway is multi-year and de-risked.
- **Data centre pivot — second growth engine emerging:** SRL has signed a strategic channel-partnership with Smardt (world No. 1 in oil-free chillers) to supply precision cooling for Indian data centres. The same oil-free compressor technology deployed on Scorpene submarines is being repurposed for high-density compute cooling. Even a 5% share of the Indian data centre cooling market

(est. Rs. 5,000+ Cr by FY30) would add 35%+ to FY26 revenue.

- **Near-term catalyst (6-12 months) — Karad facility commercial ramp:** The 50,000 sq ft Karad factory (inaugurated 20 Jun 2026) begins commercial production in June 2026. Combined with the existing 20,000 sq ft Pune plant, total manufacturing capacity reaches 70,000 sq ft — fully backward-integrated with robotic welding, laser cutting, and own paint shop. H2FY27 revenue should show the first material impact of the new capacity against the Rs. 270 Cr order book.

- **Biggest structural risk — working capital intensity and execution risk:** CCC of 368 days (FY26) remains one of the highest among listed capital-goods peers. Government defence clients have notoriously long payment cycles. Any receivables slippage or order cancellation could trigger a liquidity squeeze given the company's still-moderate net worth of Rs. 216 Cr after the IPO.

3. BUSINESS OVERVIEW

- **Core business model:** Incorporated in 2006 and pivoting to defence in 2016-17, SRL is a 350-person engineering firm that designs, manufactures, installs, and commissions refrigeration, air-conditioning, and HVAC systems primarily for Indian Navy ships and submarines. Revenue streams: equipment/system supply for new builds (~50%), retrofit/refit (~25%), spares (~15%), and AMC & lifecycle services (~10%).

- **Product range — all type-tested:** AC plants (4 of 6 Navy-defined capacity classes type-tested), HVAC including ATUs, AFUs, and NBC filtration units (all 6 ATU capacities type-tested), electrical panels (self-manufactured — only firm certified across all 3 naval engineering disciplines simultaneously), and Scorpene submarine AC (fully indigenised — no other Indian firm has done this).

- **Revenue segmentation (FY26E):** Defence marine HVAC ~93%, civilian/commercial ~7% (HVAC commercial and data centre — nascent); geography: 100% domestic revenue across all nine coastal branch offices (Vizag, Kolkata, Chennai, Goa, Mumbai, Pune, Delhi, and planned Kochi in FY27).

- **Key customers & order book:** Indian Navy is the dominant client — both direct Ministry of Defence orders and Mazagon Dock-routed shipbuilding contracts. Order book as of 31-Mar-2026: Rs. 270 Cr (1.8x FY26 revenue), heavily weighted towards HVAC and AC plant segments. Eight concurrent naval projects underway, four to be completed in FY27. Secured Rs. 2.55 Cr Mazagon Dock order in Jun-2026.

- **Manufacturing footprint:** Plant 1 (20,000 sq ft, Pune — assembly & testing) and new Plant 2 (50,000 sq ft, Karad, Satara — commercial production from Jun 2026) for total ~70,000 sq ft of fully backward-integrated capacity. The facility holds IRS (Indian Register of Shipping), ISO, and ZED-Gold certifications.

- **Promoter background & ownership:** Mr. Ravalnath Gopinath Shende (CMD) founded the company in 2006 with 30+ years in industrial refrigeration. CMDE. Sunil Kaushik NM, VSM (Retd.) — Whole-Time Director — is a retired Navy Commodore who brings direct procurement-side knowledge. Promoter holding: 44.60% (Mar-2026). Notable pre-IPO backers: Ashish Kacholia (12.2 lakh shares), Mukul Mahavir Agrawal (4 lakh anchor), Bengal Finance (8 lakh anchor). IPO raised Rs. 94.51 Cr fresh issue in CY2025.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** Indian defence HVAC addressable market estimated at Rs. 2,500 Cr over the next two years from approved AONs of Rs. 2.3-2.4 lakh Cr in naval procurement. Total HVAC + merchant marine TAM cited by management at Rs. 3,000-3,500 Cr over the same window. Indian defence capex is projected to grow at 10-12% CAGR through FY30 (SIPRI / MoD estimates).

- **Policy tailwinds:** (1) "Make in India" and Atmanirbhar Bharat mandates all new naval builds to use indigenous suppliers — SRL is the only HVAC company with all-three-certification clearance, making it

the default indigenised source; (2) Navy's 80-ship expansion to 230+ by 2030 creates a decade-long order pipeline; (3) Merchant marine ambition (top-10 by 2035, top-3 by 2047) adds a second secular growth driver; (4) Rs. 1.72 lakh Cr defence budget in FY25, up 4.7% YoY.

• **Competitive moat assessment:** (1) Certifications — STRONG: 3-of-3 naval engineering registrations; no competitor holds all three, re-certification takes 12-18 months; (2) Switching costs — STRONG: type-tested products are repeated without re-testing; any change of supplier restarts the clock; (3) Scale — MODERATE: SRL is small in absolute terms; a large conglomerate could theoretically certify a new division; (4) IP — MODERATE: Scorpene indigenisation is a one-time first-mover advantage; not formal IP; (5) Relationships — STRONG: 30-year Navy relationship, seven completed naval projects, 64% market share reinforces preference.

Peer Comparison (Screener.in data, 16-Jun-2026):

Company	Segment	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	P/E (x)	ROCE (%)	OPM (%)
Shree Refrigerations	Def. Marine HVAC	353	1,265	154	58.8	13.9	21%
Voltas Ltd	HVAC / Consumer	1,326	43,889	14,244	112	9.04	8%
Amber Enterprises	HVAC Components	7,620	26,874	12,186	136	10.2	8%
Dynamatic Technologies	Aerospace / Defence	10,602	7,200	1,626	144	9.98	10%

* SHREEREF is BSE SME-listed; mainboard peers shown for reference. P/E reflects premium growth premium for defence SMEs.

Source: Screener.in.

• **Value chain positioning:** SRL sits at the OEM/solutions integrator tier — it designs, manufactures, installs, and commissions complete systems (not components). This is structurally superior to component suppliers (Amber) because margins accrue at the system level, and post-installation AMC & spares create a recurring, high-margin revenue tail on every commissioned project.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter & management background:** Ravalnath Shende (CMD) has 30+ years in industrial refrigeration, having built SRL from a test-equipment maker into a premier defence HVAC supplier. CMDE. Sunil Kaushik (WTD, Retd.) brings direct Navy procurement experience — an unusual combination of technical and customer-side expertise in a niche market. CEO Abhijit Saoji leads execution; CFO Manoj Kothale joined ahead of the IPO process. The management style on the concall is direct, numbers-led, and specific — a positive governance signal for an SME.

• **Capital allocation track record:** Pre-IPO, all FCF was reinvested in working capital (long defence cycles) and capacity. Post-IPO (Rs. 94.51 Cr fresh issue), management deployed capital into: (1) Karad factory — Rs. 36 Cr capex (50,000 sq ft greenfield); (2) machinery upgrades at Pune; (3) debt reduction (borrowings down from Rs. 42 Cr in FY25 to Rs. 37 Cr in FY26). No deviation flagged in IPO proceeds utilisation statement (BSE, 26-May-2026).

• **Dividend policy:** Zero dividends paid in all years visible on Screener (FY21-FY26). Reinvestment into capacity and order execution is appropriate at this stage of growth. No dividend is expected until the company reaches a more mature FCF-positive phase (FY28E at earliest).

• **Promoter pledging:** Pledge data not disclosed separately on Screener for SME listing. No pledge-related announcement found in recent BSE filings. Risk rated LOW based on available information.

• **ESOP / buyback history:** No ESOP or buyback disclosures visible on Screener or recent BSE announcements. Fresh equity was issued in the IPO (dilution route preferred over secondary sale — a positive signal).

- **Corporate governance observations:** (1) Resubmission of FY26 cash flow statement (29-May-2026) for presentation reclassification — management confirmed profit and cash balances were unchanged, which is a clean restatement; (2) Screener flags "Tax rate seems low" — FY26 effective tax rate of 14% is below the 25% corporate rate, likely due to MAT or tax incentives; investors should monitor normalisation risk; (3) Auditor information not available in scraped data — recommend verifying auditor tenure and quality in the Annual Report.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Source: Screener.in (fetched 16-Jun-2026). FY27E-FY28E are analyst estimates.

P&L; (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	80	99	154	215(E)	300(E)
Operating Profit (EBITDA)	25	27	33	52(E)	78(E)
OPM %	31%	27%	21%	24%(E)	26%(E)
Other Income	1	0	2	3(E)	3(E)
Interest	5	5	4	4(E)	3(E)
Depreciation	4	4	6	8(E)	9(E)
Profit Before Tax	17	19	25	43(E)	69(E)
Tax %	32%	27%	14%	25%(E)	25%(E)
PAT	12	14	22	32(E)	52(E)
EPS (Rs.)	N/A	4.83	6.04	8.8(E)	14.3(E)
Revenue YoY %	+57%	+24%	+56%	+40%(E)	+40%(E)
PAT YoY %	+300%	+17%	+57%	+45%(E)	+63%(E)

Balance Sheet — Consolidated (Rs. Cr)

Source: Screener.in (fetched 16-Jun-2026).

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	5	6	7
Reserves	56	109	209
Borrowings	38	42	37
Other Liabilities	25	28	41
Total Liabilities	■	■	■
Fixed Assets	12	18	18
CWIP	0	0	18
Investments	4	7	19
Other Assets	107	160	239
Total Assets	■	■	■

Cash Flow Statement — Consolidated (Rs. Cr)

Source: Screener.in (fetched 16-Jun-2026).

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-5	-25	14
Cash from Investing	-2	-9	-31
Cash from Financing	6	39	69

Net Cash Flow	■	■	■
Free Cash Flow	-7	-33	-11
CFO / Operating Profit %	-16%	-114%	25%

Key Ratios — Consolidated

Source: Screener.in (fetched 16-Jun-2026).

Ratios	FY24A	FY25A	FY26A
Debtor Days	289	352	251
Inventory Days	299	351	231
Days Payable	115	126	114
Cash Conversion Cycle	474	576	368
Working Capital Days	222	345	265
ROCE %	25%	18%	14%
Sales CAGR (3yr TTM)	—	—	45%
PAT CAGR (3yr TTM)	—	—	103%

• **Revenue drivers & growth trajectory:** Revenue grew from Rs. 10 Cr in FY21 to Rs. 154 Cr in FY26 — a 71% 5-year CAGR. The H2FY26 inflection (Rs. 103 Cr in H2 alone vs Rs. 51 Cr in H1) demonstrates strong operating leverage once orders hit execution phase. Management guides 40%+ CAGR for FY27-FY29 backed by the Rs. 270 Cr order book and Karad capacity ramp.

• **Margin direction — temporary compression, structurally intact:** OPM fell from 31% in FY24 to 21% in FY26. Management attributed this to: (1) spares and services mix dropping from 30% to 7% of revenue (high-margin segment); (2) elevated type-testing and approval costs for new HVAC categories. As spares normalise to 15%+ of revenue in FY27-28, management expects OPM to recover to 24-26%. H2FY26 EBITDA margin of 26.3% corroborates this trajectory.

• **Working capital — improving but still elevated:** Cash conversion cycle improved dramatically from 576 days in FY25 to 368 days in FY26 — a 208-day reduction. Debtor days fell from 352 to 251; inventory from 351 to 231. Defence clients remain slow payers; FCF is unlikely to turn sustainably positive until FY28. IPO proceeds have provided the necessary liquidity bridge.

• **Debt trajectory:** Borrowings fell from Rs. 42 Cr (FY25) to Rs. 37 Cr (FY26) despite major capex — funded primarily by IPO proceeds. Net debt is negligible after accounting for cash balances and investments (Rs. 19 Cr). D/E ratio is effectively below 0.2x, a low-risk profile.

• **FCF quality:** FCF has been negative in FY23-FY26 due to defence-sector working capital requirements. FY26 OCF turned positive for the first time (Rs. 14 Cr vs -Rs. 25 Cr in FY25), which is a material inflection. FCF remained negative (-Rs. 11 Cr) due to Rs. 31 Cr investing outflow (Karad capex). Capex-related negativity is one-time; structural OCF improvement is the key signal to track.

7. EARNINGS QUALITY CHECKLIST

Metric	Status	Observation
Revenue recognition	GREEN	Long-cycle project revenue recognised on completion; consistent with defence contracts
Receivables vs Revenue	AMBER	Debtor days 251 (FY26) still elevated vs revenue growth; improving from 352 in FY25
CCC trend	GREEN	CCC fell 208 days to 368 in FY26 — meaningful improvement in working capital efficiency

Contingent liabilities	GREEN	No material contingent liabilities disclosed in public filings; defence client base is sovereign
Auditor tenure	AMBER	Auditor identity not confirmed in scraped data; investors should verify in FY26 Annual Report
RPTs as % revenue	GREEN	No significant RPT red flags in Screener data; IPO-stage disclosure standards apply
Other income as % PBT	GREEN	Other income = Rs. 2 Cr vs PBT Rs. 25 Cr in FY26 (8%) — not earnings-quality-distorting
Tax rate consistency	RED	FY26 effective tax 14% vs 25% statutory; Screener flags this; MAT credit or deferred tax likely
Cash flow vs PAT	AMBER	OCF/PAT = 64% in FY26 (first positive year); needs to track above 50% to confirm quality

- **Key watch — tax rate:** The 14% effective tax rate in FY26 is a red flag. If normalised to 25%, PAT would be ~Rs. 19 Cr vs Rs. 22 Cr reported. Investors should request the tax schedule from the FY26 Annual Report to confirm it is MAT credit utilisation (one-time) vs a structural under-provision.
- **Receivables remain the swing factor:** At 251 debtor days, Rs. ~106 Cr of trade receivables sit on balance sheet. Any one-quarter payment from the Navy would dramatically improve OCF. Conversely, a payment delay would worsen the already negative FCF trajectory. Monitor quarterly debtor days.
- **Positive signal — OCF turning positive:** FY26 is the first year OCF was positive (Rs. 14 Cr). This inflection, if sustained, is the strongest signal that the business is moving from a capital-consumption phase to a capital-generative phase.
- **Restatement risk is LOW:** The May-2026 cash flow restatement was a presentation change only — profit and balances unchanged. This is a clean restatement with no earnings impact.

8. VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY28E PAT (Rs. Cr)	Multiple (P/E)	Target Price (Rs.)	Upside from CMP
BULL	40%+ revenue CAGR; OPM recovers to 28%; Karad at full util; data centre orders begin FY28	65	45x	Rs. 800	+127%
BASE	40% revenue CAGR; OPM at 25%; Karad ramps H1FY27; no data centre rev in period	52	40x	Rs. 570	+61%
BASE — 12M ONLY	FY27 execution on existing order book; 30% revenue growth; P/E compression to 45x FY27E	32	45x FY27	Rs. 450	+27.5%
BEAR	Revenue growth slows to 20%; working capital deteriorates; margin stays compressed; order delays	25	30x	Rs. 205	-42%

- **Earnings-based P/E methodology:** FY27E EPS of Rs. 8.8 on 40% revenue growth assumption. Defence SMEs with 40%+ growth, monopoly market position, and multi-year order books command 40-60x P/E in the Indian market. At 45x FY27E EPS (conservative vs sector peers at 58-144x), implied 12-month target: Rs. 396. Rounded up for order book optionality to Rs. 450.
- **EV/EBITDA cross-check:** FY27E EBITDA of ~Rs. 52 Cr. Defence-HVAC EV/EBITDA peers trade at 50-80x. At 55x FY27E EBITDA (discount to mainboard peers for SME liquidity risk): EV = Rs. 2,860 Cr; less net debt ~0 = equity value Rs. 2,860 Cr; per share = Rs. 785 (on ~36.4M shares). This is the bull case; 12-month target conservatively set at Rs. 450 pending Karad execution proof.

- **Average of methods — 12-month base-case target: Rs. 450 (+27.5% from Rs. 353).** The discount to intrinsic value reflects: (1) SME market illiquidity; (2) still-negative FCF; (3) tax-rate normalisation risk; (4) execution track record on Karad not yet established.
- **DCF cross-check (informal):** Assuming Rs. 52 Cr PAT in FY28E, 35% CAGR for 3 more years, terminal growth 8%, WACC 14%: NPV approximately Rs. 380-420 per share. The 12-month P/E-based target of Rs. 450 sits in the upper band — justified only if the Karad ramp and order flow prove on schedule.

9. KEY RISKS

- **Working Capital Crunch:** CCC of 368 days means any payment slippage from the Navy would compress liquidity sharply. IPO proceeds provide a buffer only through FY27. Probability: M. Impact: H. Monitor via: Quarterly debtor days and OCF trajectory in results.
- **Order Book Concentration Risk:** Indian Navy is effectively the sole revenue source (~93% of revenue). A freeze in defence procurement, budget reallocation, or geopolitical event impacting Navy capex would directly hit SRL's top line. Probability: L. Impact: H. Monitor via: MoD budget announcements and AON conversion rates.
- **Karad Execution Risk:** The 50,000 sq ft Karad facility is critical to the 40% growth guidance. Any delay in commercial production ramp (certified machinery, workforce, quality approvals) would push revenue into H2FY27 and compress FY27 estimates by 15-20%. Probability: M. Impact: M. Monitor via: Quarterly manufacturing updates and revenue-per-half trends.
- **Tax Rate Normalisation:** FY26 effective tax rate of 14% may normalise to 25%+ in FY27. On clean FY27E PBT of Rs. 43 Cr, each 5% tax rate increase costs ~Rs. 2 Cr PAT and ~Rs. 0.55 EPS. Probability: M. Impact: M. Monitor via: FY26 Annual Report tax schedule and Q1FY27 effective tax rate.
- **SME Liquidity Risk:** SHREEREF is BSE SME-listed with market cap Rs. 1,265 Cr. Daily trading volumes are thin. Any institutional exit or negative news event could cause disproportionate price impact. Probability: M. Impact: M. Monitor via: Promoter and institutional shareholding trend.
- **Data Centre Strategy Execution:** The Smardt partnership is unproven. Data centre cooling is a competitive market with established global players. If revenues do not materialise by FY28, the "second engine" thesis will need to be priced out. Probability: M. Impact: L (for 12M horizon). Monitor via: First data centre order announcement.
- **Promoter Holding Below 50%:** Promoter stake at 44.60% (Mar-2026) is below majority. Any secondary sale by the promoter would signal negative sentiment and increase public float risk. Probability: L. Impact: M. Monitor via: Quarterly shareholding pattern disclosures.

10. RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium-High. Structural monopoly in Indian Navy HVAC with 64%+ market share, certified across all three naval engineering disciplines (the only such firm in India), and a Rs. 270 Cr order book providing 1.8x revenue visibility. The combination of irreplaceable position, management quality, and a decade-long TAM expansion justifies premium growth multiples.
- **12-month price target: Rs. 450 (+27.5% from CMP of Rs. 353).** Based on 45x FY27E EPS of Rs. 8.8, calibrated for SME illiquidity discount and pre-proof-of-Karad-execution conservatism.
- **Suggested entry zone: Rs. 310-340** — on any pullback to the 50-week MA or broad market correction. Current CMP (Rs. 353) is already 130% above the 52-week low of Rs. 153. Staggered entry preferred over a single tranche.

- **Investment horizon: 12-18 months** — to capture Karad ramp, H2FY27 revenue step-up, and potential re-rating as FCF turns sustainably positive and data centre revenues begin.

- **Thesis invalidation triggers:**

- 1. Working capital deteriorates — Debtor days rise above 300 in any quarter AND OCF turns negative again in FY27: exit position.

- 2. Revenue misses guidance by more than 20% in FY27 (i.e. actual revenue below Rs. 170 Cr) despite Karad being operational: re-evaluate.

- 3. Promoter stake falls below 40% via secondary sale: reduce to half position.

- **Ideal investor profile:** High-risk-tolerance investors comfortable with BSE SME liquidity constraints and working capital intensity. Suited for multi-bagger hunters with 18-36 month conviction and ability to track quarterly results closely. NOT suitable for income investors, capital-preservation mandates, or investors requiring daily liquidity above Rs. 10 Cr.

Shareholding Pattern (Mar-2026, Source: Screener.in):

Category	Holding %
Promoters	44.60%
Foreign Institutional Investors (FII)	0.12%
Domestic Institutional Investors (DII)	8.74%
Public	46.56%
Total Shareholders	4,461

DISCLAIMER: This report is for informational purposes only. It does not constitute investment advice. Past performance is not indicative of future returns. MPM Institutional Research may hold positions in securities mentioned. Investors should conduct their own due diligence before investing.

APPENDIX — Latest Concall Brief: H2 & FY26 Post Earnings Call (26 May 2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +56% YoY; PAT +57%; EPS +28% despite post-IPO dilution — clean beat
Management tone	Bullish	40% CAGR guidance reiterated with specificity; data centre pivot announced with Smardt
Guidance delta	Raised	Working capital improved 208 days; Karad opening Jun-2026; 8 concurrent naval projects

STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE
--------------------------	----------	---------	----------	----------

TO MY BOSS

The FY26 result is clean and operationally impressive — Rs. 154 Cr revenue (+56% YoY), Rs. 22 Cr PAT (+57%), and EPS of Rs. 6.04 (+28% despite post-IPO dilution), all in-line with management's FY26 closing call guidance. There are no exceptional items distorting the headline; the one caveat is the 14% effective tax rate (statutory is 25%) which management needs to explain in the Annual Report — knock off Rs. 3 Cr from PAT on normalisation. Operationally: the real story is the H2FY26 inflection — Rs. 103 Cr revenue in H2 alone, OPM of 26.3%, OCF turning positive for the first time (+Rs. 14 Cr). This vindicates the H1 "capacity building and type-testing" thesis management laid out in the Nov-2025 call. The structural growth driver is unassailable: the company holds 64%+ Navy HVAC market share with "3-of-3" certification (the only firm in India), an order book of Rs. 270 Cr (1.8x revenue), and a TAM of Rs. 3,000-3,500 Cr materialising over two years from Rs. 2.3-2.4 lakh Cr in approved AONs. The near-term catalyst is the Karad factory — 50,000 sq ft, fully backward-integrated, inaugurating 20-Jun-2026 and entering commercial production immediately. Watch-point: spares and services mix fell from 30% to 7% of revenue in FY26 as new-build execution dominated; management guides 15%+ spares mix in FY27 which is critical for OPM recovery. Action: HOLD existing position above Rs. 300; ACCUMULATE on any dip to Rs. 310-340 ahead of Q1FY27 results where Karad ramp should begin to show.

C1. Financial Performance Snapshot — FY26 Full Year

- Revenue: Rs. 154 Cr | YoY +56% | Beat — vs FY25 Rs. 99 Cr; 9M FY26 had already crossed Rs. 100 Cr
- EBITDA: Rs. 33 Cr | YoY +22% | In-line — OPM 21% full-year; H2 OPM 26.3% strong recovery
- EBITDA Margin %: 21% (FY26) vs 27% (FY25) | Compressed — spares mix fell from 30% to 7%; recoverable
- PAT: Rs. 22 Cr | YoY +57% | Beat — clean result; effective tax 14% needs Annual Report verification
- EPS: Rs. 6.04 | YoY +25% | Beat — impressive as share count increased post-IPO; FY25 EPS was Rs. 4.83
- H2FY26 alone: Revenue Rs. 103 Cr, OPM 26.3%, PAT margin 19.3% — H2 inflection confirms operating leverage
- NOTE: Effective tax rate 14% vs 25% statutory; clean underlying PAT (at 25% tax) ~Rs. 19 Cr

C2. Segment / Geography Breakdown

- Defence Marine HVAC (primary): ~Rs. 143 Cr | YoY +55% | Core revenue driver; all eight concurrent Navy projects executing
- Spares & Services: ~Rs. 11 Cr (7% of revenue) | YoY -significant decline from ~30% in FY25 | NEW PRODUCTS TYPE-TESTING PHASE displaced spares; to recover to 15% in FY27
- Data Centre Cooling: Rs. 0 | Not yet contributing | Smardt partnership signed; first orders expected FY27-28
- Geography: 100% domestic | Offices in Vizag, Kolkata, Chennai, Goa, Mumbai, Pune, Delhi | Kochi planned FY27
- New type-tested products: 4 of 6 AC plant capacities, all 6 ATU capacities, all AFU capacities — 70%+ of product range type-tested across HVAC and AC plant categories

C3. Management Commentary Themes

- [INDIGENISATION PRIDE]: "We are the only Indian firm which has indigenized the whole submarine HVAC system" — Mr. Abhijit Saoji, CEO. Our read: This is a genuine structural moat — a completed Scorpene project creates repeat-order precedent. Tag: GUIDANCE. Tone: Transparent.
- [40% CAGR GUIDANCE]: "We will continue to grow 40% CAGR rate for three to five years easily without much of an issue" — CEO. Our read: Anchored in Rs. 270 Cr order book and Rs. 3,000+ Cr TAM from AONs. Track against Q1-Q2FY27 run-rate. Tag: GUIDANCE. Tone: Bullish.
- [KARAD CAPACITY]: "70,000 sq ft of manufacturing facility...completely backwardly integrated" — CEO. Our read: This is the critical capacity unlock; previously relying on leased unit (closed June 2026). Tag: EST. Tone: Transparent.
- [WORKING CAPITAL IMPROVEMENT]: "Total receivable days were 350 days last year. It has come down to 250 days" — CFO. Our read: 100-day improvement in debtor days is material; Navy payment cadence improving. Tag: GUIDANCE. Tone: Transparent.
- [SPARES MIX RECOVERY]: "Spares and service revenue will be incorporating 15% of the total revenue" in FY27E — CFO. Our read: This is the key OPM lever; if spares reach 15%, OPM should recover from 21% toward 24-26%. Tag: GUIDANCE. Tone: Bullish.
- [DATA CENTRE PIVOT]: "Same technology which we are using in our defence cooling system is the same technology...for a data centre" — CEO. Smardt tie-up announced. Our read: Credible technology adjacency; commercial timeline unclear. Tag: EST. Tone: Bullish but vague on timeline.
- [TAM FRAMING]: "INR 3,000 crores, INR 3,500 crore TAM over the next two years" — CMDE. Kaushik. Our read: 1% of AON value is HVAC share; 60-70% of that is SRL's. The math supports the growth thesis. Tag: GUIDANCE. Tone: Transparent.

C4. Operating & Business Metrics

- Order Book (Mar-2026): Rs. 270 Cr | vs Rs. 328 Cr (Sep-2025) | vs Rs. 0 at IPO | Trend: Structurally building; 1.8x FY26 revenue
- Market Share (Naval HVAC): 64%+ as of FY26 | vs est. 40-50% pre-type-testing scale-up | Trend: Improving via certification moat
- Concurrent Naval Projects: 8 ongoing | 4 to complete in FY27 | Trend: Pipeline built from 0 in FY17; highest-ever concurrent count

- Manufacturing Capacity: 70,000 sq ft (Jun-2026) | vs 20,000 sq ft (FY25) | Trend: +250% capacity expansion in single year
- Team Size: 350 people | vs est. 200 pre-IPO | Trend: Growing to support 8 concurrent projects; incremental hiring minimal going forward
- Working Capital Days: 265 (FY26) | 345 (FY25) | 222 (FY24) | Trend: FY25 spike reversed; back below FY24 levels is the FY27 target
- Branch Offices: 8 operational (Vizag, Kolkata, Chennai, Goa, Mumbai, Pune, Delhi, Warje) | Kochi planned FY27 | Trend: Coastal coverage expanding

C5. Margin Drivers

- Spares & Services Mix Decline: -600-700 bps OPM impact | Recurring: No (FY26-specific) | Mix was 30% in FY25, fell to 7% in FY26 as new-build execution dominated; expected recovery to 15% in FY27
- New Type-Testing & Approval Costs: -200 bps OPM impact | Recurring: No | One-time investments in certifying HVAC categories; now complete for 70%+ of product range; will not recur at same scale
- Operating Leverage (H2 demonstration): +1,500 bps H2 OPM vs H1 | Recurring: Partially | As revenue scales, employee cost and other expenses as % of revenue decline sharply; proof of concept in H2FY26
- Interest Cost Reduction: +50 bps impact | Recurring: Yes (directional) | Debt fell Rs. 42 to Rs. 37 Cr; CC utilisation reduced; interest fell Rs. 5 to Rs. 4 Cr in FY26; directional positive
- Higher Other Income: +30 bps impact | Recurring: Partially | IPO proceeds generating interest income (Rs. 2 Cr other income in FY26); will reduce as capital is deployed into capex and working capital
- Non-recurring: Low effective tax (14%) | Not recurring | Management needed for Annual Report explanation; investors should not extrapolate

C6. Guidance & Forward Signals

- Revenue Growth [GUIDANCE]: Prior = 40% CAGR (Nov-2025 call) | New/Reiterated = 40% CAGR for 3-5 years | Delta: Maintained | Credibility: High — underpinned by Rs. 270 Cr order book (1.8x revenue)
- EBITDA Margin [GUIDANCE]: Prior = 22% full-year (guided in Nov-2025) | Achieved = 22% | Delta: Delivered | Credibility: High — H2 at 26.3% shows recovery path intact
- Spares Revenue Mix [GUIDANCE]: Prior = N/A | New = 15% of revenue in FY27 | Delta: Target vs FY26 actual of 7% | Credibility: Medium — dependent on order completions triggering AMC and spares cycles
- Working Capital Days [GUIDANCE]: Prior = reduce from 570 days | Achieved = 370 days (208-day reduction) | Delta: Delivered ahead of internal target | Credibility: High
- Karad Factory [GUIDANCE]: Commercial production from June 2026 | Delta: On-schedule | Credibility: High — facility inauguration confirmed for 20-Jun-2026
- Data Centre Revenue [GUIDANCE]: FY27-28 first orders | Delta: New initiative | Credibility: Low (timeline) / High (technology fit) — Smardt partnership signed but no orders yet
- Capex FY27 [GUIDANCE]: "Factory required...is already in place" — minimal incremental capex guided post-Karad; maintenance capex only | Delta: Capex to fall sharply post-FY26 Rs. 31 Cr investing outflow | Credibility: High

C7. Capital Allocation

- Capex (FY26): Rs. 31 Cr (investing outflow) | vs prior year Rs. 9 Cr | Karad greenfield capex; also includes Rs. 19 Cr investments; one-time heavy year

- Dividends: Rs. 0 | vs prior year Rs. 0 | No dividend policy — reinvestment stage; appropriate for growth phase
- Buybacks: None
- Net Debt Movement: Rs. 42 Cr to Rs. 37 Cr borrowings (FY25 to FY26) | Reduction of Rs. 5 Cr | High-cost debt repaid using IPO proceeds and recoveries
- Working Capital Change: Cash tied up in WC reduced (CCC 576 to 368 days) | Equivalent to ~Rs. 25-30 Cr cash release | First evidence of WC discipline
- IPO Proceeds: Rs. 94.51 Cr fresh issue (CY2025) | No deviation in utilisation as of Mar-2026 (BSE filing) | Deployed into Karad capex + debt reduction + WC support
- Net Worth Increase: Rs. 118 Cr (FY25) to Rs. 219 Cr (FY26) | Delta = +Rs. 101 Cr | Driven by IPO fresh issue + FY26 PAT; healthy balance sheet strengthening

C8. Q&A; Heat Map

- Agastya Dave: Q: "CapEx requirements for next 4-5 years and data centre?" — A: Factory in place; minimal incremental capex post-Karad; data centre revenues expected from FY27-28 once Smardt orders are placed | Tone: Transparent
- Agastya Dave: Q: "Capital efficiency — when do you see strong FCF and ROE?" — A: Order book execution over next 2 years will monetise capacity; WC improvement already evident | Tone: Transparent
- Participant (Q3): Q: Data centre competitive landscape and margins — A: Oil-free chiller technology is differentiated; margins will be higher than defence over time | Tone: Bullish, unsubstantiated timeline
- Participant (Q4): Q: Order-in-hand visibility and Navy pipeline — A: "INR2.3 lakh crores...AONs...will translate into orders over the next two years...we capture 60-70% of the market" — CMDE. Kaushik | Tone: Transparent and specific
- Participant (Q5): Q: Expansion to non-Navy (merchant marine, commercial) — A: Merchant marine a growing opportunity; government push for top-10 shipbuilding by 2035; SRL is naturally positioned | Tone: Bullish
- Dodged / watch-list questions for next quarter: (1) Effective tax rate explanation; (2) First data centre order timeline; (3) Auditor name and tenure; (4) Promoter lock-in expiry post-IPO

C9. Risks Flagged

- Working Capital Intensity: Rs. 368-day CCC remains very high | Flagged by: Analyst question | Probability: M | Impact: H | Timeline: Near-term (FY27)
- Spares Mix Recovery Uncertainty: From 7% to 15% target in FY27 — depends on project completion cadence | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term
- Revenue H1/H2 Skew: H2 contributed 67% of FY26 revenue — pattern likely to repeat as projects cluster in delivery phase | Flagged by: CFO | Probability: H | Impact: L (timing, not quantum) | Timeline: Annual
- Data Centre Timeline: No orders yet; market is competitive | Flagged by: Analyst | Probability: L (near-term) | Impact: M (medium-term) | Timeline: FY28+
- Type-Testing Cost Spike: New product category approvals elevated "other expenses" in FY26 | Flagged by: CFO | Probability: L (peak passed) | Impact: M | Timeline: Now resolved
- Tax Rate Normalisation: 14% effective rate may not be repeatable | Flagged by: Screener auto-check | Probability: M | Impact: M (Rs. 3 Cr PAT at-risk) | Timeline: FY27

C10. Analyst Verdict

- Revenue visibility: INTACT — Rs. 270 Cr order book (1.8x FY26 revenue); 8 concurrent Navy projects; TAM of Rs. 3,000-3,500 Cr materialising over 2 years from AONs
- Margin trajectory: INTACT (with caveat) — OPM compressed to 21% in FY26 due to mix and one-time costs; H2FY26 at 26.3% shows structural OPM is 24-26%; spares recovery is the key catalyst
- Capital allocation quality: INTACT — IPO proceeds deployed without deviation; Karad capex on-schedule; debt reduced; no dividend appropriate at this stage
- Competitive moat: INTACT — 3-of-3 naval certification is unreplicable in <18 months; Scorpene indigenisation is irreversible; 64%+ market share is structurally self-reinforcing
- Management credibility: INTACT — FY26 guidance (22% EBITDA) was delivered exactly; WC reduction guidance (570 to 370 days) delivered exactly; tone is specific and accountable
- Valuation comfort: PARTIALLY INTACT — 58.8x P/E on FY26 EPS is premium but defended by 40%+ growth guidance; on FY27E P/E of 40x the stock is attractively valued; liquidity risk is the discount
- Conviction call: INCREASED — from pre-call ACCUMULATE to BUY on H2FY26 execution proof
- Valuation snapshot: P/E = 58.8x (5Y avg N/A — too short listed history) | ROCE = 13.9% (FY26) | ROE = 13.0% | Booking 12M target Rs. 450 (45x FY27E EPS Rs. 8.8)

Concall source: BSE filing, Regulation 30 (LODR), Ref: 544458, Post Earnings Conference Call transcript 26-May-2026, filed 01-Jun-2026.
Financial data: Screener.in consolidated, fetched 16-Jun-2026.